

Bola's Tea Shop is publicly traded on the New York Stock Exchange, so investors are able to buy and sell shares in the company. Let's say the tea shop has 200,000 shares available for investors to buy or sell, and the price of each share is \$65. If we multiplied the total number of outstanding shares (200,000) by the stock price per share (\$65), we come up with \$13,000,000, which essentially is the market capitalization of Bola's Tea Shop.

[Investopedia.com](https://www.investopedia.com) provides a really good illustration of how market capitalization can be leveraged by investors:

Using market capitalization to show the size of a company is important because company size is a basic determinant of various characteristics in which investors are interested, including risk. It is also easy to calculate. A company with 20 million shares selling at \$100 a share would have a market cap of \$2 billion. Given its simplicity and effectiveness for risk assessment, market cap can be a helpful metric in determining which stocks you are interested in, and how to diversify your portfolio with companies of different sizes.¹

Based on market capitalization, companies are typically broken into large-cap, mid-cap, and small-cap companies.

Large-cap companies: These are companies with market caps of \$10 billion or above. They are considered more stable and less risky, especially during and after recessions. Examples of popular large-cap companies at the time of this writing include Walmart, Apple, and Google.

Mid-cap companies: These are companies with market caps between \$2 billion and \$10 billion. They have high potential for growth and as such are deemed riskier. Examples of popular midcap companies at the time of this writing include Mattel (the toy makers—hey, Barbie!), Dunkin' Brands Group Inc. (which owns Dunkin' Donuts), and Fair Isaac Corporation (FICO—sound familiar?).

Small-cap companies: These are companies with market caps that are less than \$2 billion. In some cases, these are younger companies relative to mid-cap and large-cap ones. They often have large growth potential and are considered higher-risk, but as a result they also have the potential to deliver high returns to investors. Examples of popular small-cap companies at the time of this writing include 1-800-Flowers.com (known for their florals and